Although both India and China have, for a number of years, experienced exceptional economic growth, the balance has been uneven. Today, China's GDP is nearly five times that of India.[6] The Government of India (GOI) in April 2019 reported an overall trade deficit (merchandise and services) of $8.78 billion; the trade deficit is particularly large ($15.33 billion) when it comes to merchandise.[7] Its trade deficit with China stood at $52.68 billion for 2015–16, shrinking slightly to $51.72 for 2017–18. In April 2019, Bloomberg reported trade figures for 2018 showing that India had cut its trade deficit with China by USD 10 billion, having gained market shares for its exports due to the US–China trade war.[8] However, if figures for India's trade with Hong Kong are added, the picture becomes more complicated. According to the Indian Ministry of Commerce and Industry, China's trade surplus with India shrank from $59.3 to $57.4 billion in 2018, but the former British colony's trade with India turned from a deficit of $3.9 to a surplus of $2.7 billion. In sum, India's trade deficit with China and Hong Kong combined grew from $55.4 to $60.1 billion between 2017 and 2018.[9]

The balance thus clearly remains in China's favour. During Modi's tenure, India has sought to narrow the gap by attracting Chinese investments, hoping, in particular, to revive the job-creating manufacturing sector in India and to gain funds for major infrastructure projects. Modi's emphasis on foreign investments, a policy which he began as Chief Minister of Gujarat in the early 2000s, is also important to ensure the success of a number of Modi's domestic campaigns. Among these are the "Make in India" campaign (launched in 2014 with an aim to create more jobs and to turn India into a global manufacturing hub) and the "Startup India" (launched in 2015 to encourage business establishments) and "Standup India" (established in 2016 to support entrepreneurs from scheduled castes and tribes and women) schemes.